

Digital Assets & Tokenization

Regulatory Advisory to CrossLink Financial Group (CFG) —
prepared by FinCrest Advisory (FA), Singapore

Frameworks: PSA · SFA · FAA · MAS Notices **Jurisdiction:** Singapore

Classification: Confidential



Primary MAS Guide to Digital Token Offerings (last updated 30
Reference: November 2018) — 11 Case Studies applied throughout

⚠ SCENARIO CONTEXT

Following the DLT pilot's success, CFG's Innovation Lab proposes **stablecoin remittances, tokenized deposits, and NFT-based loyalty programs**. The Compliance Director requires licensing, AML/CFT, and consumer-protection issues to be resolved under the **PSA** and **SFA** before any launch. This advisory is anchored in the **MAS Guide to Digital Token Offerings (November 2018)**, which provides authoritative guidance — including 11 case studies — on how Singapore's securities laws apply to digital token structures. MAS emphasises (para 4.2) a **substance-over-form** approach: firms must look beyond labels and examine the actual features and characteristics of each token.

What are the different use cases of digital assets, and why are some considered high-risk?

A. Use Cases of Digital Assets

The MAS Guide (para 4.1) deliberately avoids labelling tokens as "utility tokens" or "stablecoins" — the classification depends on rights attached. Para 4.2 states: *"When applying the law to your case, you and your legal advisers should look beyond labels and examine the features and characteristics of each token."*

Digital Asset Type	Key Use Cases	MAS Guide Reference	CFG Relevance
Utility Tokens	Platform access, service rights	Case Study 1 (Token A) — access rights only; not capital markets products; no SFA/FAA requirements	Low
Cryptocurrencies (BTC, ETH)	Cross-border payments, store of value, collateral	Case Study 6 (Company F) — DPT exchange regulated under PSA for AML/CFT purposes	Moderate
Security Tokens (shares / debentures)	Tokenized equities, bonds, fund structures	Case Study 2 (Token B) — shares; Case Study 5 (Token E) — debentures; Prospectus Requirements apply	Medium — future

Digital Asset Type	Key Use Cases	MAS Guide Reference	CFG Relevance
CIS Tokens	Pooled investment vehicles	Case Study 3 (Token C) — unit in a CIS; CMS licence for fund management required	Low — monitor
Stablecoins (USDC, XSGD)	Remittances, DeFi settlement, programmable payments	Case Study 11 (Token K) — buy-back obligation → potential debenture or e-money under PSA	High — CFG proposed
Tokenized Deposits	Digital on-chain bank deposits	Not in Guide — likely deposit-taking under Banking Act; MAS engagement required	High — CFG proposed
NFTs / Governance Tokens	Loyalty, voting rights, digital art	Case Study 8 (Token H) — voting-only token not capital markets product; substance-over-form applies	High — classification risk
CBDCs	Sovereign digital currency	MAS Project Orchid — monitoring phase	Monitoring only

B. Why Are Some Digital Assets Considered High-Risk?

● **Regulatory Misclassification (MAS Guide para 4.2)**

MAS warns firms to look beyond labels. An NFT with profit participation rights or secondary market tradeability may be reclassified as a share (para 2.3.1), debenture (para 2.3.2), or CIS unit (para 2.3.5) — directly affecting CFG's NFT loyalty program.

● **Buy-Back / Redemption Risk (Case Studies 10 & 11)**

Case Studies 10 (Token J) and 11 (Token K) show that a buy-back or redemption obligation can transform an apparently simple token into a debenture under the SFA, triggering Prospectus Requirements. Critical for CFG's stablecoin structure.

● **AML/CFT Exposure (MAS Guide Section 3)**

Regulated intermediaries must identify ML/TF risks, implement CDD and transaction monitoring, and file STRs with STRO under section 39 of the CDSA. TSOFA and UN Regulations apply even to unregulated tokens (MAS Guide para 3.3).

● **Smart Contract Vulnerabilities**

Tokenized deposits and stablecoin remittances rely on smart contracts. Exploits can cause irreversible fund loss with no central authority to reverse transactions.

● **Extra-Territorial Reach (MAS Guide paras 2.12-2.13)**

Section 339 of the SFA may apply where CFG's activities are conducted partly outside Singapore. Case Study 7 (Token G) illustrates that a US "investment contract" classification does not determine Singapore law treatment — CFG must conduct its own Singapore analysis.

● **Price Volatility & Consumer Protection**

Non-pegged DPTs carry significant mark-to-market risk. MAS has consistently warned that DPTs are highly speculative and unsuitable for the general public — CFG must enforce adequate suitability assessments and risk disclosures.

CFG should build a layered, five-domain risk mitigation framework anchored in MAS regulatory requirements. The MAS Guide (Section 3) sets out mandatory AML/CFT obligations, while Section 5 outlines the **FinTech Regulatory Sandbox** as a key tool for piloting novel initiatives under regulatory oversight.

A. Governance & Policy

- Establish a Digital Asset Risk Committee with board-level oversight and a dedicated token classification function
- Define a Digital Asset Classification Policy applying the PSA/SFA taxonomy and MAS Guide substance-over-form test (para 4.2) to every proposed instrument
- Maintain a Digital Asset Register documenting each instrument's regulatory status, applicable MAS Guide case study analogue, risk rating, and controls
- Implement a new product approval process requiring Compliance sign-off and independent legal opinion before launch
- Complete the MAS Guide Appendix 1 Critical Questions as a mandatory self-assessment for each new digital asset proposal

B. AML/CFT Controls — MAS Guide Section 3



MANDATORY AML/CFT REQUIREMENTS — MAS GUIDE PARAS 3.1-3.3

- Identify, assess, and understand ML/TF risks across all digital asset activities

- Implement CDD, transaction monitoring, screening, STR filing, and record-keeping per MAS Notices SFA04-N02 and FAA-N06
- Perform enhanced measures where higher ML/TF risks are identified

- Report suspicious transactions to STRO under

SECTION 39 OF THE CDSA

— applies even to unregulated tokens (MAS Guide para 3.3.1)

- Comply with

TSOFA AND UN REGULATIONS

— prohibiting dealings with designated individuals and entities (para 3.3.2)

- Apply

TRAVEL RULE

— transmit originator/beneficiary info for DPT transfers above SGD 1,500 (MAS Notice PSN02A)

- Deploy blockchain analytics tools (Chainalysis, Elliptic) to screen wallet addresses against OFAC/UN sanctions lists
- Implement on-chain transaction monitoring rules flagging mixing services, high-velocity transfers, and suspicious wallet patterns
- Conduct enhanced CDD for all DPT-linked customer relationships

C. Technology & Operational Controls

- Conduct independent smart contract audits by third parties before any tokenization or stablecoin deployment
- Use multi-signature wallet architectures requiring multiple approvers for high-value transactions
- Maintain cold storage for 90%+ of digital asset reserves (industry standard)
- Obtain crime and cyber liability insurance specific to digital asset custody operations
- Establish BCPs addressing key management failure and exchange/protocol outages

D. Consumer Protection

- Provide risk disclosures and suitability assessments per MAS Guidelines on Consumer Protection for DPT Services
- Prohibit DPT advertising in public spaces (MAS restriction, January 2022)
- Segregate customer digital assets from CFG proprietary holdings at all times
- Restrict retail access to high-risk and speculative digital assets

E. MAS FinTech Regulatory Sandbox — A Key Mitigation Tool

The MAS Guide (Section 5) confirms that firms applying technology innovatively to provide MAS-regulated financial services may apply for the **FinTech Regulatory Sandbox**. If approved, MAS relaxes specific legal and regulatory requirements for the sandbox duration. MAS expects applicants to have conducted laboratory testing and to know the applicable regulatory requirements prior to submission (para 5.1).

CFG Recommendation: Apply for the Regulatory Sandbox for tokenized deposit issuance and novel stablecoin structures before full commercial launch. This provides a controlled environment to test technology and compliance frameworks with MAS oversight.

3

Which digital assets are regulated in Singapore, and which are unregulated?

The MAS Guide (para 2.2) establishes that MAS examines the **structure, characteristics, and rights** attached to a digital token to determine regulatory treatment. The 11 case studies provide authoritative illustrations of how this analysis applies in practice.

A. Regulated as Capital Markets Products Under the SFA

Under **section 2(1) of the SFA**, "capital markets products" includes securities (shares, debentures, units in a business trust), units in a CIS, and derivatives contracts.

(i) Shares — MAS Guide para 2.3.1 | Case Study 2

MAS Case Study 2 (Token B)

Token B was structured to represent a share in Company B — conferring ownership interest. **Held to be securities under SFA.** Prospectus Requirements apply unless exempted. Financial advice on Token B requires an FA licence under the FAA.

A digital token constitutes a share where it confers ownership interest in a corporation, represents the holder's liability, and reflects mutual covenants with other token holders.

(ii) Debentures — MAS Guide para 2.3.2 | Case Studies 5, 10, 11

MAS Case Studies 5, 10 & 11

Token E (Case 5): right of investor as creditor → debenture. **Token J (Case 10):** buy-back obligation may constitute debenture. **Token K (Case 11):** US\$1 buy-back obligation → potential debenture or e-money under PSA. *Critical for CFG's stablecoin structure.*

(iii) Units in a CIS — MAS Guide para 2.3.5 | Case Study 3

MAS Case Study 3 (Token C)

Company C pooled funds to invest in a portfolio of FinTech start-ups. Profits distributed to holders. **Token C held to be a unit in a CIS** — CMS licence for fund management required; CIS must be authorised or recognised by MAS under sections 286/287 SFA.

⚠ **WARNING FOR CFG'S TOKENIZED DEPOSIT STRUCTURE**

If CFG's tokenized deposit structure pools customer funds and generates returns managed by CFG, it may inadvertently constitute a CIS — requiring authorisation or recognition by MAS in addition to Banking Act compliance.

B. Regulated Under the PSA (DPT Services)

The PSA regulates **Digital Payment Tokens (DPTs)** — digital representations of value not denominated in or pegged to any currency, accepted as a medium of exchange. From April 2024, the expanded PSA covers DPT custodial services, DPT transfer services (including stablecoin remittances), and overseas activities by Singapore-based entities.

MAS Case Study 6 (Company F)

Company F operated a Bitcoin-to-fiat exchange. While SFA did not apply (no securities traded), the PSB/PSA regulated the activity for AML/CFT purposes — requiring a licence for dealing in or facilitating the exchange of DPTs.

C. MAS Stablecoin Regulatory Framework (August 2023)

- Single-currency stablecoins (SCS) pegged to SGD or G10 currencies, issued in Singapore, with circulation above SGD 5 million are regulated
- Issuers must maintain 100% reserve backing, minimum capital requirements, and par-value redemption within 5 business days
- MAS-regulated stablecoins may carry the "MAS-regulated stablecoin" label — CFG should require this of any stablecoin integrated into its remittance rails
- **Note:** Case Study 11 (Token K) predates the 2023 framework but remains relevant — it demonstrates that a buy-back/redemption obligation can trigger SFA debenture classification in addition to PSA e-money treatment

D. Generally Unregulated Digital Assets

Asset Type	MAS Position	MAS Guide Reference	CFG Risk Note
Utility Tokens	Generally Unregulated	Case Study 1 (Token A) — platform access rights only; no financial rights	Low — unless CFG attaches monetary redemption rights
Governance / Voting Tokens	Generally Unregulated	Case Study 8 (Token H) — voting rights only; no profit claim or debt obligation	Low — substance-over-form test still applies
Advisory Service Tokens	Generally Unregulated	Case Study 9 (Token I) — operational services; no financial advice	Low
NFTs (general)	Largely Unregulated	Not directly addressed; MAS substance-over-form approach (para 4.2) applies	HIGH — classification risk for CFG's loyalty program
US "Investment Contract" Tokens	Not automatically regulated under SFA	Case Study 7 (Token G) — Howey Test classification ≠ SFA capital markets product; separate Singapore analysis required	Case-by-case

⚠ CRITICAL WARNING — SUBSTANCE-OVER-FORM (MAS GUIDE PARA 4.2)

MAS explicitly warns: firms must look beyond labels. CFG's NFT loyalty tokens — if tradeable on secondary markets for monetary value, or structured to confer profit participation — may be reclassified as

SECURITIES UNDER THE SFA

or

DPTS UNDER THE PSA

. A formal token classification assessment completing MAS Guide Appendix 1 Critical Questions, supported by independent legal opinion from a Singapore-qualified lawyer, is mandatory before launch.

E. Extra-Territorial Reach of Singapore's Securities Laws

MAS Guide paras 2.12-2.13 & Case Study 7

Section 339 of the SFA may apply extra-territorially where CFG operates a primary or trading platform partly outside Singapore. Case Study 7 (Token G) also demonstrates that a US "investment contract" classification does not determine Singapore law treatment — CFG must conduct an independent Singapore law analysis for any cross-border token activity.

4

What activities involving digital assets constitute regulated activity requiring licensing?

The MAS Guide (paras 2.8–2.11) identifies three key intermediary categories that may require licensing. CFG's proposed initiatives must be mapped against each.

A. Primary Platform Operators (MAS Guide para 2.9)

A person operating a **primary platform** in Singapore enabling primary offers/issues of digital tokens constituting capital markets products may be carrying on a regulated activity under the SFA, requiring a **CMS licence**.

MAS Case Study 5 (Company E)

Company E operated a platform enabling start-ups to raise funds via digital token offerings (Token E — debentures). Required a CMS licence for dealing in capital markets products that are securities, and approval as a Recognised Market Operator for secondary trading of Token E.

B. Financial Advisers (MAS Guide para 2.10)

A person providing **financial advice on any digital token that is an investment product** must hold a Financial Adviser's licence under the FAA, or qualify as an exempt financial adviser.

MAS Case Study 2 (Company B)

Company B provided financial advice in relation to its offer of Token B (a share). Required to be a licensed financial adviser under FAA — or rely on an applicable exemption (e.g., if it already holds a CMS licence for dealing in securities).

CFG Note: If CFG provides investment advice to clients on stablecoins, tokenized deposits, or security tokens, it must hold the appropriate FA or CMS licence. The distinction between providing information and providing financial advice must be assessed with legal counsel.

C. Trading Platform Operators / Organised Markets (MAS Guide para 2.11)

A person establishing or operating a **trading platform for digital tokens constituting securities, derivatives, or CIS units** is operating an organised market and must be approved as an **Approved Exchange** or recognised as a **Recognised Market Operator (RMO)**.

MAS Case Study (Company E) Case Study (Company
5 & 6 F)

Case 5:

Company E's secondary trading platform for Token E (debentures) held to be an organised market — requires AE/RMO approval.

Case 6:

Company F's DPT-only exchange (no securities) not subject to SFA organised market requirements — but regulated under PSA for AML/CFT. If Company F later adds security token trading, full SFA requirements apply.

D. Full Regulated vs Unregulated Activity Matrix

Activity	Regulated?	Authority / Licence Required
Buying/selling DPTs against fiat (OTC or exchange)	✓ Yes	MPI/SPI Licence (PSA) — DPT Exchange Service
Operating a DPT trading platform between third parties	✓ Yes	MPI Licence (PSA) — DPT Exchange Service
Transmitting DPTs on behalf of customers (stablecoin remittances)	✓ Yes	MPI Licence (PSA) — DPT Transfer Service
Custody of customer DPTs (holding private keys)	✓ Yes	MPI Licence (PSA) — DPT Custodial Service (from 2024)
Offering digital tokens constituting securities (shares, debentures)	✓ Yes	Prospectus Requirements under SFA Part XIII; CMS Licence for dealing
Dealing in security tokens for customers	✓ Yes	CMS Licence — Dealing in Capital Markets Products (SFA)
Financial advice on digital tokens as investment products	✓ Yes	Financial Adviser's Licence (FAA) or CMS Licence (SFA)
Fund management involving digital securities / CIS tokens	✓ Yes	CMS Licence — Fund Management (SFA) MAS Guide Case Study 3
Operating a secondary trading platform for security tokens	✓ Yes	Approved Exchange or RMO (SFA) — MAS Guide para 2.11 Case Study 5
Safe custody of security tokens for customers	✓ Yes	SFA and MAS Notice on Custody
	✓ Yes	

Activity	Regulated?	Authority / Licence Required
Tokenized deposit issuance		Banking Act — Banking Licence + MAS Engagement Required
Internal blockchain use for settlement (no customer DPT dealings)	X No	Not a regulated DPT service — CFG's Phase 1 DLT pilot structure
Utility token offering — platform access rights only	X No	MAS Guide Case Study 1 — No SFA/FAA requirements; CDSA/TSOFA still apply
Advisory operational services only — no financial advice	X No	MAS Guide Case Study 9 — operational services not regulated activity

E. Licensing Summary for CFG's Proposed Initiatives

CFG Initiative	MAS Guide Analogue	Classification	Licence Required
Stablecoin Remittances	Case Study 11 (Token K) — e-money / potential debenture	DPT Transfer Service / SCS (Stablecoin Framework 2023)	MPI Licence (PSA)
Tokenized Deposits	Not in Guide — MAS engagement required	Deposit-taking under Banking Act; potential CIS	Banking Licence + Sandbox
NFT Loyalty Program	Case Study 8 (Token H) — if purely voting/ access only	Unregulated if purely loyalty; subject to classification	HALT — legal opinion required
Custody of Customer DPTs	Case Study 6 — DPT AML/ CFT obligations	DPT Custodial Service (PSA from 2024)	MPI Licence (PSA)

CFG Initiative	MAS Guide Analogue	Classification	Licence Required
Advisory on Security Tokens	Case Study 2 (Company B) — FA licence required	Capital Markets / Financial Advisory	CMS Licence (SFA) or FA Licence
Token Trading Platform	Case Study 5 (Company E) — organised market	Organised Market under SFA	Approved Exchange or RMO

Advisory Conclusion — Recommendations to CFG's Board

*Informed by MAS Guide to Digital Token Offerings (November 2018) | 11
Case Studies applied*

- 1. Engage MAS via Regulatory Sandbox (MAS Guide Section 5):** Apply for the FinTech Regulatory Sandbox for tokenized deposits and novel stablecoin structures before full commercial launch. MAS expects laboratory testing and regulatory knowledge prior to submission.
- 2. Formal Token Classification Exercise (MAS Guide para 4.2 & Appendix 1):** Complete the Appendix 1 Critical Questions and obtain an independent legal opinion from a Singapore-qualified lawyer for every proposed digital asset initiative — before any development commences.
- 3. Apply for MPI Licence (PSA):** The foundational regulatory step. Stablecoin remittances and DPT custody services are squarely within PSA scope — CFG cannot lawfully conduct these activities without this licence.

4. Implement MAS Guide Section 3 AML/CFT Framework:

Fully implement ML/TF risk assessment, CDD, transaction monitoring, CDSA section 39 STR reporting, TSOFA/UN Regulations compliance, and MAS Notice PSN02 Travel Rule requirements across all digital asset operations.

5. Segregate Customer Digital Assets: Maintain strict separation of customer assets from CFG proprietary holdings — both a regulatory requirement and a critical consumer protection measure.

6. Halt NFT Loyalty Program Pending Legal Opinion: Do not launch without a definitive legal assessment applying MAS Guide para 4.2 substance-over-form analysis and Appendix 1 Critical Questions. The reclassification risk as securities or DPTs is material and must be resolved before any development investment is made.

"Innovation without compliance is a liability. CFG's competitive advantage lies not just in adopting digital assets, but in doing so within a robust regulatory perimeter — grounded in MAS guidance — that builds lasting trust with customers and regulators alike."

— FinCrest Advisory, Phase 2: Digital Assets & Tokenization Advisory | Ref: MAS Guide to Digital Token Offerings (Nov 2018)